

the regulator has continued to strengthen the regulation and transparency of AIFs with several key measures.

Fund tenure must now start from the first close rather than the final close, preventing funds from prolonging their life by taking multiple years to raise capital. Extensions are limited to a maximum of two years and require approval from limited partners, who provide capital to a partnership without participating in its active management.

“Additionally, AIF units must be dematerialised, placement memorandums need regular updates, and compliance reports must be submitted to Sebi. These steps collectively

enhance governance and reporting standards, significantly boosting investor confidence in AIFs,” says Alekh Yadav, Head of Investment Products at Sanctum Wealth.

Sebi’s tightening of AIF regulations has significantly reshaped investor confidence.

“Schemes with over 50% contribution from a single group of investors must undergo enhanced due diligence as per SFA standards—ensuring accountability in fund structuring and deployment. Independent valuation protocols, now extended to Category III AIFs, along with board-level oversight on conflicts and valuation changes, further reinforce trust,”

says Samir Satyam, Fund Manager at PL Capital Performing Credit Fund.

SFA is short for Standard Setting Forum for AIFs.

Recently, RBI tightened norms for banks and non-banking financial companies (NBFCs) investing in AIFs. From January 1, 2026, no single regulated entity can invest more than 10% in an AIF. The combined investment from all lenders is capped at 20%.

And if an AIF invests over 5% in a borrower’s debt, the lender must make full provisions for that exposure. This aims to ensure better credit discipline.

AIFS OFFER CLARITY

“To sum up, AIFs are better for investors who look for professional management and diversification, want less operational involvement and are comfortable with a higher minimum investment and less illiquidity, and aim to diversify their portfolio beyond traditional assets without the hassles of property management,” says Madhupam Krishna, a Sebi-registered investment advisor and chief planner at WealthWisher Financial Planners and Advisors.

Second homes suit those who value tangible things, personally usable assets, and potential regular rental income and don’t mind active management or can outsource it. Plus, they should be prepared for operational and maintenance work and understand real estate markets.

AIFs are like hiring a financial manager—high skills, hands-off, and (hopefully) high reward. Second homes? They’re your personal fortress with potential rental returns. Both require patience and capital, but the choice comes down to whether you prefer the elegance of financial engineering or the warmth of holding the keys to your own investment. **BT**

THE TAX ADVANTAGE

	AIFs	SECOND HOMES
TAXATION STRUCTURE	Profits taxed as capital gains/ income based on fund category	Taxation depends on use: personal, rental, or commercial use
DEDUCTIONS	Not significant for individual investors	Interest, Principal if filled under old tax regime deductible with limits. Property tax & depreciation can be charged in expenses if commercially used
RENTAL INCOME	N/A (unless the AIF invests in rented assets)	Rental income is taxable, but some expenses can be offset
WEALTH TAX/ OTHER LEVIES	Fund management charges, no other tax	Subject to transfer duties/ property tax depending on location and usage